

CHAPTER REVIEW QUESTIONS

1. **Abel and Baker formed AB Partners, LP. Abel contributed \$1,000 and became the managing general partner, and Baker contributed \$50,000 as a limited partner. AB Partners, LP, was successfully sued for an injury they caused to a third party. What is the potential personal liability for Abel and Baker, respectively?**
- a. \$1,000/\$50,000
 - b. Unlimited/\$50,000
 - c. \$0/\$50,000
 - d. \$0/\$0
 - e. Unlimited/\$0
2. **Whiteside is a partner in High Flyer Partners, a general partnership. The partnership agreement for High Flyer restricts the parties from leaving the partnership for one full year. Six months after Whiteside signs the agreement, he notifies his partners that he is dissociating. Under the RUPA, what is the impact of Whiteside's dissociation on High Flyer Partners?**
- a. The partnership is dissolved via operation of law.
 - b. The partnership may be dissolved by express agreement of the remaining partners.
 - c. There is no impact on continuation of the partnership.
 - d. The remaining partners are now jointly and severally liable.
 - e. Whiteside is now classified as a limited partner.
3. **John and Linda agree to form a partnership and sign a partnership agreement indicating that the partnership will last for three years. They have created a(n)**
- a. Express partnership.
 - b. Atwill partnership.
 - c. Implicit partnership.
 - d. Term partnership.
 - e. A and D.
4. **Joe and Tom form a general partnership. If Joe commits a tort while acting on behalf of the business and the liability exceeds the partnership assets, Joe and Tom will assume the liability equally. This is known as**
- a. Respondent superior.
 - b. Waiver of liability.
 - c. Joint-and-several liability.
 - d. An ultra vires act.
 - e. None of the above.
5. **Susan and Mark form a general partnership. Susan contributes \$9,000 as her capital contribution, and Mark contributes \$1,000. They do not create a partnership agreement. If the partnership earns \$100,000 in profits the first year, Mark will be legally entitled to**
- a. \$50,000.
 - b. \$10,000.
 - c. \$90,000.
 - d. \$1,000 plus interest.
 - e. \$100,000.
6. **Susan and Mark form a general partnership to operate a coffee shop. They do not create a partnership agreement. Susan can legally hire employees.**
- a. True
 - b. False
7. **Mark and Cameron form a general partnership to operate a social media business. Mark hears of an app company that is for sale related to the partnership with Cameron. Mark may legally purchase the app company individually.**
- a. True
 - b. False
8. **John and Marcos agree to start a technology-based general partnership. John will provide his patents to launch the venture, and Marcos will provide financing. These items should be expressed in the partnership agreement.**
- a. True
 - b. False
9. **A nonprofit motive is necessary to create a general partnership.**
- a. True
 - b. False
10. **Susan and Mark form a general partnership to operate a coffee shop. Susan uses her personal funds to purchase coffee beans for the business inventory. The partnership is legally required to compensate her for this expense.**
- a. True
 - b. False